APPRAISAL REPORT

Quarry Inn & Suites | Charlotte, NC

Subject Property	Quarry Inn & Suites
Address	998 Harbor Boulevard, Charlotte, NC 69742
Property Rights Appraised	Fee Simple
Effective Date of Value	May 17, 2021
Market Value Conclusion	$27,170,000

Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 5.39% and 5.39%. Median household income within a 3-mile radius of the property is approximately $391,000 and has grown 4.3% annually. Rent growth in the submarket has averaged 6.9% annually over the past 10 years.

Rent growth in the submarket has averaged 6.6% annually over the past 11 years. Market vacancy for comparable Hotel product stands at 6.4%, down from 3.8% two years ago. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 3.1% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Topography and Flood Zone

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 10 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 28.28 acres and is generally level with frontage along Harbor Boulevard.

The site contains approximately 47.47 acres and is generally level with frontage along Harbor Boulevard. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 23 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Supply and Demand

The Charlotte Hotel market has experienced absorption of 4600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Market vacancy for comparable Hotel product stands at 9.2%, down from 6.1% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors.

Employment growth is led by healthcare, logistics, education and professional services sectors. The Charlotte Hotel market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 5 meeting rooms. Median household income within a 9-mile radius of the property is approximately $130,000 and has grown 11.5% annually.

Topography and Flood Zone

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 4.4 acres and is generally level with frontage along Harbor Boulevard. Access to the site is provided by 12 curb cuts and the property is served by municipal water and sanitary sewer.

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Submarket Analysis

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 91.3% with an average daily rate of $106 and RevPAR indexing above the competitive set. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 5.55% and 5.55%.

Trailing twelve-month occupancy was 91.5% with an average daily rate of $106 and RevPAR indexing above the competitive set. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Hotel product stands at 9.6%, down from 6.7% two years ago. Median household income within a 2-mile radius of the property is approximately $349,000 and has grown 3.5% annually. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 6 meeting rooms.

Topography and Flood Zone

The site contains approximately 2.2 acres and is generally level with frontage along Harbor Boulevard. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 30 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 33 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 41.41 acres and is generally level with frontage along Harbor Boulevard. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Market Overview

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 2 meeting rooms. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 7.03% and 7.03%. Market vacancy for comparable Hotel product stands at 8.0%, down from 7.3% two years ago. Trailing twelve-month occupancy was 89.0% with an average daily rate of $106 and RevPAR indexing above the competitive set.

The Charlotte Hotel market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Hotel product stands at 7.8%, down from 5.8% two years ago. Rent growth in the submarket has averaged 6.4% annually over the past 12 years. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 14 meeting rooms. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 23.23 acres and is generally level with frontage along Harbor Boulevard. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 27 curb cuts and the property is served by municipal water and sanitary sewer.

The site contains approximately 31.31 acres and is generally level with frontage along Harbor Boulevard. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 6 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Submarket Analysis

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Improvements Description

Common area interiors have been refreshed within the last 10 years and are in average to good condition. The roof is a 28-year membrane system with an estimated remaining useful life of 3 years. Mechanical systems include rooftop package units and central plant equipment of varying age. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 29 stories.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 11 stories. The roof is a 11-year membrane system with an estimated remaining useful life of 10 years. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Improvements Description

Trailing twelve-month occupancy was 94.0% with an average daily rate of $106 and RevPAR indexing above the competitive set. The roof is a 28-year membrane system with an estimated remaining useful life of 5 years. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 3 stories. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 93.5% with an average daily rate of $106 and RevPAR indexing above the competitive set. Mechanical systems include rooftop package units and central plant equipment of varying age.

Building Systems

Mechanical systems include rooftop package units and central plant equipment of varying age. Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 46 stories. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 41 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 90.7% with an average daily rate of $106 and RevPAR indexing above the competitive set.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 29 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Trailing twelve-month occupancy was 96.8% with an average daily rate of $106 and RevPAR indexing above the competitive set. Mechanical systems include rooftop package units and central plant equipment of varying age.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Copper Lodge	Buffalo, NY	02/20/2026	78	$32,634,156	$296,674	6.02%	2016
Juniper Hotel	Des Moines, IA	11/07/2025	136	$12,650,324	$115,003	5.82%	1972
Yarrow Lodge	Baltimore, MD	10/24/2023	95	$24,578,790	$223,444	7.08%	1970
Lantern Inn & Suites	Dallas, TX	08/16/2024	107	$28,227,709	$256,616	5.55%	1989
Nautilus Inn & Suites	Phoenix, AZ	02/06/2022	84	$36,264,123	$329,674	5.76%	1999
Aspen Suites	Sacramento, CA	02/20/2023	137	$36,607,241	$332,793	5.01%	1976
Dunmore Lodge	Chicago, IL	04/25/2022	105	$18,127,320	$164,794	5.44%	2003
Oakmont Suites	Detroit, MI	03/05/2022	115	$28,224,738	$256,589	7.51%	1998
Maple Suites	Salt Lake City, UT	09/07/2022	110	$23,805,375	$216,412	6.02%	2014
Oakmont Lodge	Richmond, VA	06/28/2024	77	$11,229,624	$102,087	6.04%	1974
Union Inn & Suites	Atlanta, GA	11/23/2024	127	$28,418,704	$258,352	5.82%	2019
Union Hotel	Denver, CO	07/04/2022	152	$17,661,943	$160,563	6.76%	1974
Banyan Hotel	Sacramento, CA	12/07/2023	86	$20,204,400	$183,676	7.42%	1978
Lockwood Inn & Suites	Phoenix, AZ	04/29/2024	154	$18,115,854	$164,690	5.76%	2015
Dover Hotel	Sacramento, CA	04/13/2024	104	$18,018,077	$163,801	5.72%	2003
Beacon Lodge	Minneapolis, MN	03/22/2026	129	$17,821,249	$162,011	8.02%	1987
Osprey Lodge	Indianapolis, IN	01/22/2022	148	$27,418,683	$249,261	7.39%	1985
Verde Inn & Suites	Albany, NY	03/12/2023	149	$18,085,258	$164,411	8.00%	1966
Nautilus Lodge	Norfolk, VA	05/03/2026	76	$19,937,776	$181,253	5.46%	2013
Crestline Suites	Orlando, FL	07/26/2026	94	$18,331,414	$166,649	5.42%	1975
Windmill Hotel	Madison, WI	03/21/2025	64	$22,393,390	$203,576	5.99%	2022
Willow Inn & Suites	Columbus, OH	07/30/2023	142	$24,792,172	$225,383	5.63%	1981
Windmill Suites	Chicago, IL	09/11/2024	133	$35,014,812	$318,316	6.25%	1977
Marlow Hotel	San Antonio, TX	01/20/2024	85	$16,094,308	$146,312	8.16%	1965
Maple Lodge	Pittsburgh, PA	09/28/2022	111	$32,489,533	$295,359	7.64%	1966
Glenview Hotel	Milwaukee, WI	01/24/2022	163	$24,540,616	$223,097	7.97%	1985
Marlow Suites	Salt Lake City, UT	02/08/2024	86	$21,465,883	$195,144	7.83%	1975
Ironwood Inn & Suites	Columbus, OH	09/29/2022	163	$27,616,702	$251,061	6.44%	1976
Harbor Inn & Suites	Kansas City, MO	04/17/2025	104	$28,755,342	$261,412	7.89%	2000
Timberline Lodge	Cleveland, OH	01/30/2026	146	$21,749,511	$197,723	6.70%	1998
Nautilus Lodge	Cleveland, OH	03/24/2023	161	$17,728,371	$161,167	6.93%	1999
Whitaker Hotel	Portland, OR	02/20/2024	161	$21,230,736	$193,007	5.46%	1965
Garnet Hotel	Albuquerque, NM	09/02/2024	121	$11,360,283	$103,275	5.77%	2019
Cobalt Inn & Suites	Denver, CO	04/01/2024	111	$22,252,253	$202,293	7.04%	1999
Granite Hotel	Seattle, WA	04/06/2025	85	$15,982,423	$145,295	5.84%	1987
Driftwood Hotel	Oklahoma City, OK	06/16/2024	127	$16,039,212	$145,811	6.19%	1984
Hawthorne Inn & Suites	Charlotte, NC	07/24/2024	153	$27,842,670	$253,115	5.93%	1982
Aspen Lodge	Orlando, FL	08/08/2024	91	$21,388,925	$194,445	7.46%	1989
Hollis Lodge	Minneapolis, MN	10/25/2025	59	$28,975,309	$263,412	5.77%	2022
Maple Inn & Suites	Boston, MA	06/27/2022	131	$34,328,052	$312,073	5.98%	2007
Lockwood Suites	Norfolk, VA	06/18/2025	157	$28,782,918	$261,663	5.28%	1981
Jasper Lodge	Denver, CO	10/25/2025	60	$28,815,671	$261,961	6.76%	1993
Verde Lodge	Columbus, OH	04/24/2024	89	$12,132,929	$110,299	5.86%	2011

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Income and Expense Review

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $423,000, representing a 11.5% increase over the prior year. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 44 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 3 meeting rooms. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period.

Financial Analysis

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 30 meeting rooms. The going-in capitalization rate of 5.77% reflects the in-place income and the stabilized occupancy assumption. Trailing twelve-month occupancy was 88.6% with an average daily rate of $106 and RevPAR indexing above the competitive set. Effective gross income for the trailing period was $431,000, representing a 7.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 23 meeting rooms. Debt service coverage ratio was 7.33x on a trailing basis against a covenant minimum of 1.20x. Trailing twelve-month occupancy was 93.0% with an average daily rate of $106 and RevPAR indexing above the competitive set. The going-in capitalization rate of 5.05% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $193,000 or approximately 14.44 per square foot, with real estate taxes representing the largest line item.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Debt service coverage ratio was 7.46x on a trailing basis against a covenant minimum of 1.20x. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 94.6% with an average daily rate of $106 and RevPAR indexing above the competitive set. Operating expenses totaled $446,000 or approximately 34.58 per square foot, with real estate taxes representing the largest line item.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 30 meeting rooms. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Operating expenses totaled $181,000 or approximately 25.07 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.08% reflects the in-place income and the stabilized occupancy assumption.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Brookside Hotel	2.3 mi	1986	Bay	$91.70	95.4%	1 mo. free
Lockwood Inn & Suites	1.0 mi	2011	Bay	$98.47	86.6%	1 mo. free
Hawthorne Inn & Suites	4.4 mi	2005	Studio	$97.54	86.4%	None
Pelican Hotel	4.8 mi	2022	1BR	$98.50	95.9%	1 mo. free
Lantern Suites	3.2 mi	2012	Studio	$98.91	91.2%	1 mo. free
Lantern Suites	4.1 mi	1991	Bay	$111.20	93.1%	None
Eastlake Lodge	0.6 mi	1974	Bay	$97.14	97.5%	None
Alder Suites	2.0 mi	2012	Studio	$115.97	91.3%	$500
Valley Inn & Suites	0.9 mi	1982	Studio	$96.91	89.9%	$500
Ivy Suites	4.1 mi	1988	Studio	$111.82	96.5%	1 mo. free
Quarry Suites	2.0 mi	1996	Suite	$106.40	88.5%	None
Timberline Lodge	2.6 mi	1984	2BR	$98.00	87.3%	$500
Indigo Inn & Suites	1.9 mi	1979	Bay	$92.23	93.6%	None
Alder Hotel	1.8 mi	2023	1BR	$111.85	92.1%	1 mo. free
Kestrel Hotel	1.5 mi	1985	Inline	$95.23	96.2%	None
Lakeshore Suites	1.4 mi	2001	1BR	$114.68	88.7%	None
Valley Inn & Suites	1.2 mi	1988	2BR	$101.61	92.7%	$500
Palisade Lodge	1.3 mi	2018	Suite	$106.48	97.9%	1 mo. free
Lantern Hotel	1.7 mi	1977	1BR	$108.97	89.2%	$500
Summit Lodge	3.9 mi	2023	2BR	$104.38	86.9%	None
Tidewater Hotel	4.5 mi	2017	1BR	$123.84	89.2%	$500
Zephyr Lodge	1.5 mi	1986	Inline	$123.98	87.9%	None
Whitaker Suites	0.4 mi	1982	Studio	$107.18	87.1%	1 mo. free
Tidewater Lodge	4.0 mi	1970	1BR	$124.03	95.1%	None
Beacon Inn & Suites	1.3 mi	2015	Suite	$98.85	88.9%	$500
Falcon Suites	0.7 mi	1983	Suite	$121.35	96.4%	1 mo. free
Ridgeline Lodge	3.1 mi	1974	Studio	$118.41	92.4%	None
Ivy Inn & Suites	3.7 mi	1971	1BR	$98.78	91.8%	None
Lantern Suites	4.5 mi	1989	Inline	$98.31	87.5%	1 mo. free
Nautilus Inn & Suites	0.4 mi	2020	Studio	$105.25	91.2%	$500
Everett Inn & Suites	3.5 mi	1970	Unit	$106.29	95.4%	None
Cobalt Hotel	0.9 mi	1972	Bay	$126.51	93.5%	$500
Laurel Lodge	1.9 mi	1988	2BR	$118.05	92.7%	None
Jasper Lodge	4.6 mi	1990	Bay	$119.00	87.6%	None
Sable Hotel	0.6 mi	1978	Bay	$96.77	91.0%	1 mo. free
Willow Hotel	4.1 mi	1971	2BR	$96.93	92.2%	1 mo. free
Hawthorne Inn & Suites	2.2 mi	1975	1BR	$112.38	93.3%	1 mo. free
Aspen Lodge	4.5 mi	2007	Bay	$119.84	89.7%	$500
Harbor Hotel	3.2 mi	1978	Inline	$124.38	91.1%	$500
Garnet Lodge	2.8 mi	1993	Suite	$122.97	92.9%	None
Valley Suites	4.6 mi	1995	Studio	$96.19	90.1%	None
Thornton Suites	4.2 mi	1982	2BR	$120.69	93.3%	None
Nautilus Suites	3.7 mi	2011	1BR	$100.64	93.8%	None

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Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 3-mile radius of the property is approximately $408,000 and has grown 10.2% annually. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 2.8% population growth over the last five years. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Trailing twelve-month occupancy was 94.3% with an average daily rate of $106 and RevPAR indexing above the competitive set. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 10.3% population growth over the last five years. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 6.44% and 6.44%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 37 meeting rooms.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 13.13 acres and is generally level with frontage along Harbor Boulevard. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 11 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 37.37 acres and is generally level with frontage along Harbor Boulevard. Access to the site is provided by 9 curb cuts and the property is served by municipal water and sanitary sewer.

Supply and Demand

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 40 meeting rooms. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 4-mile radius of the property is approximately $339,000 and has grown 3.5% annually. Trailing twelve-month occupancy was 94.1% with an average daily rate of $106 and RevPAR indexing above the competitive set. Rent growth in the submarket has averaged 6.5% annually over the past 4 years. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 5.1% population growth over the last five years.

Employment growth is led by healthcare, logistics, education and professional services sectors. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 8.4% population growth over the last five years. Market vacancy for comparable Hotel product stands at 9.1%, down from 7.2% two years ago. Trailing twelve-month occupancy was 91.7% with an average daily rate of $106 and RevPAR indexing above the competitive set. Rent growth in the submarket has averaged 3.9% annually over the past 7 years.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 48 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 20.20 acres and is generally level with frontage along Harbor Boulevard.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 9 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 10.10 acres and is generally level with frontage along Harbor Boulevard. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Market Overview

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Improvements Description

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 46 stories. Common area interiors have been refreshed within the last 5 years and are in average to good condition. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 3 meeting rooms. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 31-year membrane system with an estimated remaining useful life of 9 years.

Trailing twelve-month occupancy was 90.0% with an average daily rate of $106 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 31 meeting rooms.

Building Systems

Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 7 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 37 meeting rooms.

Common area interiors have been refreshed within the last 4 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 22-year membrane system with an estimated remaining useful life of 5 years. Mechanical systems include rooftop package units and central plant equipment of varying age.

Improvements Description

Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 3 stories. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 35 meeting rooms. Trailing twelve-month occupancy was 90.0% with an average daily rate of $106 and RevPAR indexing above the competitive set.

Trailing twelve-month occupancy was 95.9% with an average daily rate of $106 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 7-year membrane system with an estimated remaining useful life of 11 years. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 12 meeting rooms.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Thornton Suites	New Orleans, LA	06/30/2023	146	$21,095,941	$191,781	6.51%	1999
Dover Suites	Boston, MA	09/03/2025	133	$15,284,422	$138,949	7.51%	1977
Falcon Hotel	Hartford, CT	04/04/2025	165	$21,658,918	$196,899	5.58%	1991
Meridian Hotel	Kansas City, MO	06/28/2025	59	$18,903,402	$171,849	6.32%	1980
Elmhurst Lodge	Louisville, KY	06/19/2024	110	$28,588,362	$259,894	6.73%	1995
Copper Inn & Suites	Milwaukee, WI	09/05/2023	71	$22,389,466	$203,541	5.98%	1984
Elmhurst Suites	Nashville, TN	09/29/2025	93	$24,772,088	$225,201	6.80%	1973
Lockwood Hotel	Kansas City, MO	06/02/2023	121	$14,791,770	$134,471	7.37%	1988
Yarrow Inn & Suites	Dallas, TX	09/16/2022	62	$20,886,490	$189,877	7.52%	2004
Garnet Inn & Suites	Riverside, CA	10/16/2023	140	$34,876,883	$317,063	6.20%	2003
Jasper Inn & Suites	Seattle, WA	02/03/2022	80	$18,441,598	$167,651	6.75%	1971
Union Lodge	Cincinnati, OH	02/07/2024	100	$35,037,203	$318,520	6.41%	1969
Ironwood Inn & Suites	Naperville, IL	01/01/2026	120	$32,768,647	$297,897	6.46%	1968
Aspen Inn & Suites	Charlotte, NC	06/26/2025	98	$11,608,492	$105,532	8.17%	1990
Indigo Suites	Albany, NY	08/27/2022	77	$24,428,403	$222,076	7.63%	1995
Raven Suites	Detroit, MI	06/28/2022	151	$11,083,402	$100,758	6.42%	2007
Maple Inn & Suites	Richmond, VA	10/09/2025	92	$11,574,630	$105,224	7.73%	1980
Cypress Suites	Boston, MA	08/26/2025	87	$33,658,321	$305,985	7.24%	1991
Summit Hotel	Houston, TX	03/28/2026	84	$25,731,281	$233,921	7.35%	1977
Canyon Suites	Kansas City, MO	03/27/2022	164	$25,703,551	$233,669	6.21%	1965
Quarry Suites	Grand Rapids, MI	07/19/2026	102	$27,267,318	$247,885	6.44%	1965
Jasper Inn & Suites	Madison, WI	07/04/2023	130	$27,618,327	$251,076	5.05%	1991
Glenview Hotel	Des Moines, IA	11/29/2022	127	$28,987,447	$263,522	7.25%	2005
Alder Lodge	Oklahoma City, OK	11/25/2022	58	$36,482,906	$331,663	7.74%	1989
Westgate Inn & Suites	Oklahoma City, OK	01/24/2023	141	$21,330,713	$193,916	5.34%	1986
Summit Suites	Buffalo, NY	08/05/2023	82	$33,551,425	$305,013	5.51%	2012
Glenview Lodge	Aurora, CO	04/02/2025	93	$22,782,714	$207,116	6.73%	1990
Valley Lodge	Grand Rapids, MI	11/06/2022	79	$15,010,202	$136,456	7.06%	2008
Tidewater Hotel	Dallas, TX	06/07/2023	75	$21,136,170	$192,147	5.47%	1990
Lakeshore Suites	Indianapolis, IN	09/28/2022	158	$28,178,606	$256,169	5.50%	2019
Ashford Hotel	Riverside, CA	07/05/2022	163	$31,356,182	$285,056	5.84%	1973
Dover Inn & Suites	Jacksonville, FL	08/10/2023	110	$17,055,010	$155,046	8.12%	2008
Zephyr Inn & Suites	Birmingham, AL	07/26/2026	80	$32,474,880	$295,226	6.70%	1977
Zephyr Hotel	Boston, MA	07/19/2023	90	$15,575,628	$141,597	7.67%	2004
Lantern Hotel	Allentown, PA	09/24/2024	152	$30,149,274	$274,084	7.02%	2022
Amberly Suites	Charlotte, NC	08/29/2025	98	$32,190,764	$292,643	5.27%	1985
Keystone Lodge	Phoenix, AZ	01/29/2023	117	$23,285,899	$211,690	6.12%	1994
Bayview Suites	Grand Rapids, MI	10/01/2022	97	$21,875,123	$198,865	6.27%	1999
Glenview Inn & Suites	Newark, NJ	05/15/2022	136	$25,235,296	$229,412	7.07%	2004
Brookside Suites	New Orleans, LA	04/17/2024	148	$33,664,437	$306,040	6.04%	2000

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Valuation Discussion

Operating expenses totaled $334,000 or approximately 13.11 per square foot, with real estate taxes representing the largest line item. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 5.50x on a trailing basis against a covenant minimum of 1.20x. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 44 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $266,000, representing a 12.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 35 meeting rooms. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Operating expenses totaled $239,000 or approximately 8.42 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

Debt service coverage ratio was 5.03x on a trailing basis against a covenant minimum of 1.20x. Trailing twelve-month occupancy was 93.7% with an average daily rate of $106 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 16 meeting rooms. Operating expenses totaled $182,000 or approximately 40.30 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 94.4% with an average daily rate of $106 and RevPAR indexing above the competitive set. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. The going-in capitalization rate of 7.45% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Operating expenses totaled $329,000 or approximately 8.57 per square foot, with real estate taxes representing the largest line item. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 5 meeting rooms. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Effective gross income for the trailing period was $285,000, representing a 3.9% increase over the prior year.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 46 meeting rooms. Debt service coverage ratio was 7.68x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $180,000, representing a 10.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Meridian Hotel	1.6 mi	2014	Studio	$122.86	89.2%	1 mo. free
Harbor Suites	4.7 mi	1998	2BR	$112.16	90.2%	1 mo. free
Tidewater Suites	4.7 mi	1979	Unit	$118.44	91.4%	None
Dover Inn & Suites	1.0 mi	1992	Inline	$111.78	96.8%	1 mo. free
Tidewater Suites	3.4 mi	2017	Unit	$103.91	92.9%	$500
Thornton Hotel	1.6 mi	1973	1BR	$111.97	86.4%	$500
Highland Suites	3.4 mi	1995	2BR	$109.52	97.9%	None
Calloway Lodge	3.4 mi	2014	2BR	$113.75	95.0%	None
Birchwood Suites	0.9 mi	2018	Suite	$121.83	95.2%	$500
Calloway Lodge	1.1 mi	1980	Bay	$112.37	87.5%	None
Vista Lodge	2.6 mi	2000	Studio	$99.82	93.9%	None
Pelican Hotel	3.5 mi	1997	Bay	$111.27	89.4%	None
Raven Hotel	3.2 mi	2009	2BR	$121.88	88.8%	None
Oakmont Inn & Suites	2.3 mi	1980	Suite	$126.79	93.7%	1 mo. free
Redwood Suites	2.2 mi	1998	Inline	$93.50	96.8%	1 mo. free
Lockwood Inn & Suites	1.0 mi	1988	1BR	$110.07	96.7%	1 mo. free
Summit Lodge	1.7 mi	2021	Inline	$121.57	96.4%	None
Lakeshore Hotel	4.7 mi	2002	Studio	$106.21	91.4%	None
Garnet Suites	4.1 mi	2023	Bay	$120.52	87.6%	None
Timberline Suites	4.9 mi	1986	Inline	$92.50	96.2%	$500
Marlow Suites	1.8 mi	1999	1BR	$92.71	86.5%	1 mo. free
Nautilus Lodge	0.3 mi	2014	Studio	$125.23	91.6%	1 mo. free
Pinecrest Suites	0.7 mi	1991	1BR	$97.80	95.6%	1 mo. free
Calloway Suites	3.3 mi	1985	Bay	$99.05	93.1%	1 mo. free
Kingsley Inn & Suites	3.5 mi	1977	2BR	$108.99	91.7%	None
Saddlebrook Inn & Suites	3.2 mi	1977	1BR	$106.89	95.2%	None
Heritage Lodge	4.1 mi	2004	Bay	$124.05	95.7%	None
Thornton Hotel	1.8 mi	2019	2BR	$91.73	92.3%	None
Kestrel Lodge	0.3 mi	1993	2BR	$93.07	89.6%	None
Wexford Lodge	1.6 mi	1978	Suite	$105.28	92.4%	None
Fairmont Suites	3.9 mi	1994	2BR	$115.94	95.5%	None
Saddlebrook Lodge	1.2 mi	2021	Unit	$107.74	97.1%	None
Cobalt Hotel	1.3 mi	1997	Inline	$115.65	93.2%	None
Dover Inn & Suites	3.4 mi	2003	Studio	$95.40	95.7%	None
Saddlebrook Inn & Suites	4.4 mi	1994	Unit	$114.33	88.9%	None
Jasper Inn & Suites	3.7 mi	2015	1BR	$116.49	90.5%	None
Falcon Lodge	0.8 mi	2013	Unit	$108.68	97.2%	None
Pelican Hotel	3.4 mi	1983	Bay	$101.22	95.5%	$500
Alder Inn & Suites	1.7 mi	2021	Suite	$98.90	97.1%	$500
Sable Suites	3.4 mi	1985	Unit	$102.60	86.0%	1 mo. free
Mesa Lodge	2.3 mi	1996	Suite	$123.99	91.3%	1 mo. free
Canyon Hotel	0.9 mi	1970	Unit	$105.82	93.2%	$500
Beacon Hotel	4.5 mi	1990	Unit	$116.74	94.5%	None

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Market Overview

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The Charlotte Hotel market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 13.8% population growth over the last five years. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 45 meeting rooms.

Market vacancy for comparable Hotel product stands at 13.6%, down from 6.0% two years ago. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 34 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 96.9% with an average daily rate of $106 and RevPAR indexing above the competitive set. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Site Description

The site contains approximately 11.11 acres and is generally level with frontage along Harbor Boulevard. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 2 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 19.19 acres and is generally level with frontage along Harbor Boulevard.

Submarket Analysis

Rent growth in the submarket has averaged 8.0% annually over the past 9 years. The Charlotte Hotel market has experienced absorption of 800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 14.0% population growth over the last five years.

Trailing twelve-month occupancy was 90.9% with an average daily rate of $106 and RevPAR indexing above the competitive set. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 6.13% and 6.13%. Rent growth in the submarket has averaged 4.6% annually over the past 7 years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Topography and Flood Zone

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 19.19 acres and is generally level with frontage along Harbor Boulevard. Access to the site is provided by 10 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 46 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 10.10 acres and is generally level with frontage along Harbor Boulevard.

Market Overview

Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 5.49% and 5.49%. Revenue is driven by transient corporate demand, group business and weekend leisure travel. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Quarry Inn & Suites and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on May 1, 2021.

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Andre Walker, RPLS

Pinnacle Realty Appraisers

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